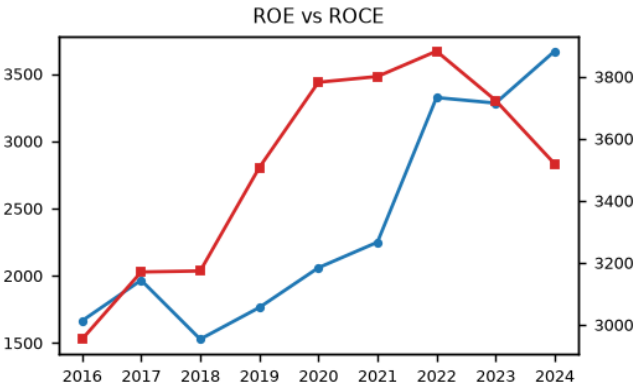
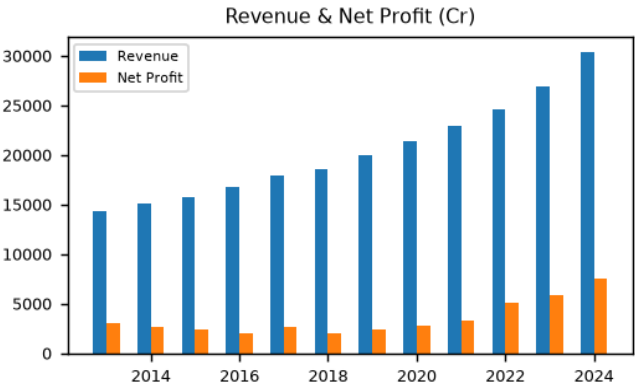
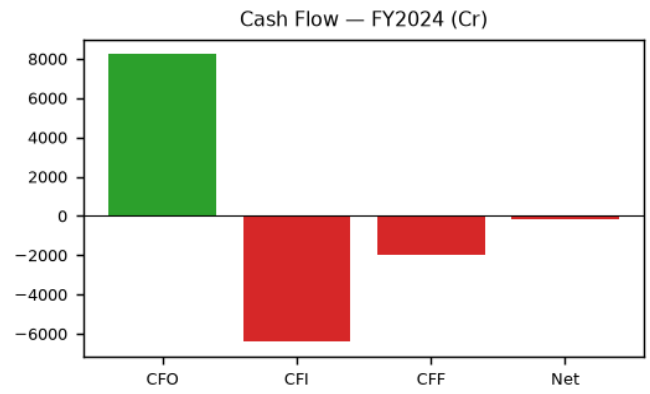
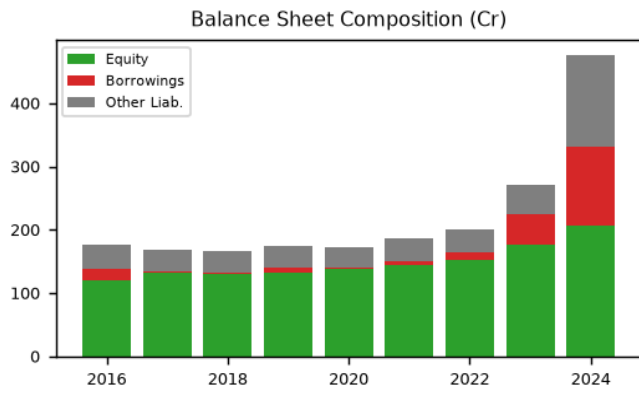


# Hindustan Aeronautics Ltd (HAL)

Industrials · Fiscal Year 2024

|                       |                                 |                                   |
|-----------------------|---------------------------------|-----------------------------------|
| <b>ROE</b><br>3669.1% | <b>ROCE</b><br>3519.0%          | <b>Net Profit Margin</b><br>25.0% |
| <b>D/E</b><br>0.6     | <b>Revenue CAGR 5yr</b><br>8.7% | <b>FCF (Cr)</b><br>1,814          |





## Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

## Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns